

TradeLENS

CNN-Based Trading Strategy with Integrated Technical and Macroeconomic Representations

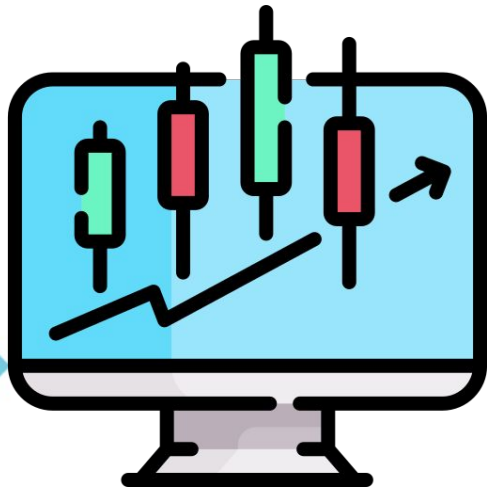


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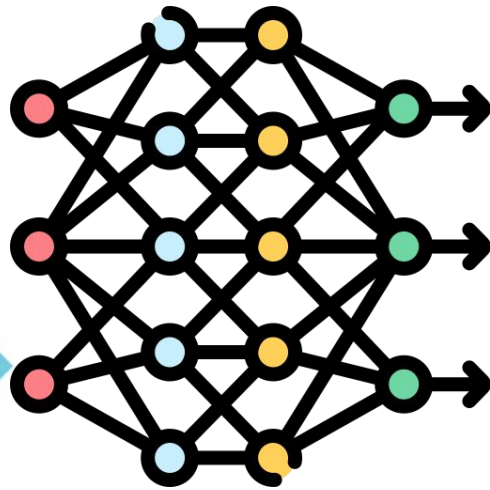


INTRODUCTION



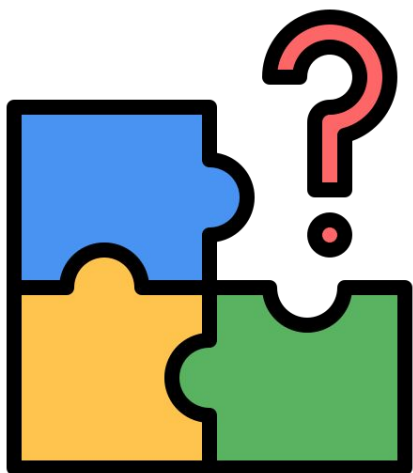
Financial markets are driven by price, indicators, and macroeconomics.

INTRODUCTION



CNNs extract complex spatial features from images to enable accurate and efficient image classification.

INTRODUCTION



Existing CNN models are usually trained on **technical indicators only**, and they rarely encode **macroeconomic context** in the same input representation.

STATEMENT OF THE PROBLEM

1

Do macroeconomic indicators improve the performance of CNN-based trading models when combined with technical indicator images?

2

How do macroeconomic indicators contribute to the accuracy and effectiveness of CNN-based trading systems?

METHODOLOGY

Dataset



**Historical Stock
Price Data**



**Macroeconomic
Indicators**

METHODOLOGY

Dataset



**Historical Stock
Price Data**

**Open Price
High Price
Low Price
Close Price**

From 2012 to 2025

METHODOLOGY

Dataset

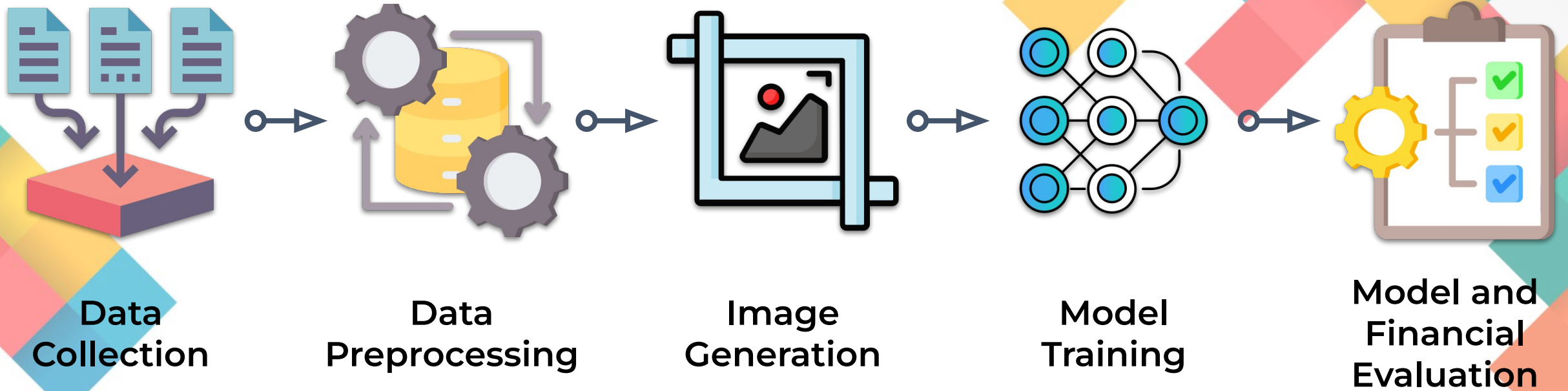
1. Reverse repurchase rate (RRP)
2. Purchasing power of peso
3. Oil Price
4. Gold Price
5. Inflation rate



Macroeconomic Indicators

METHODOLOGY

TradeLENS Process Flow



METHODOLOGY



Data Preprocessing

1. Relative Strength Index (RSI)
2. Williams %R
3. Simple Moving Average (SMA)
4. Exponential Moving Average (EMA)
5. Weighted Moving Average (WMA)
6. Hull Moving Average (HMA)
7. Triple Exponential Moving Average (TEMA)
8. Commodity Channel Index (CCI)
9. Chande Momentum Oscillator (CMO)
10. Moving Average Convergence Divergence (MACD)
11. Percentage Price Oscillator (PPO)
12. Rate of Change (ROC)
13. Chaikin Money Flow Indicator (CMFI)
14. Directional Movement Indicator (DMI)
15. Parabolic Stop and Reverse Indicator (PSI)

METHODOLOGY



Data Preprocessing

Algorithm 1 Turning point label generation (Buy, Hold, Sell)

```
1: procedure LABELGEN_TURNINGPOINT
2:    $N = \text{length}(\text{close\_prices})$             $\triangleright$  close_prices = Daily close price series
3:    $R \leftarrow 5$                             $\triangleright$  11-day window, 5 days before and after
4:   for  $t = 0$  to  $N - 1$  do
5:      $\text{start} \leftarrow \max(0, t - R)$ 
6:      $\text{end} \leftarrow \min(N - 1, t + R)$ 
7:      $\text{window} \leftarrow \text{close\_prices}[\text{start}.. \text{end}]$ 
8:      $\text{center\_price} \leftarrow \text{close\_prices}[t]$ 
9:      $\text{max\_price} \leftarrow \max(\text{window})$ 
10:     $\text{min\_price} \leftarrow \min(\text{window})$ 
11:     $\text{max\_count} \leftarrow$  number of positions in window equal to max_price
12:     $\text{min\_count} \leftarrow$  number of positions in window equal to min_price
13:    if  $\text{center\_price} = \text{max\_price}$  and  $\text{max\_count} = 1$  then
14:       $\text{label\_text}[t] \leftarrow \text{"Sell"}$ 
15:       $\text{label\_code}[t] \leftarrow -1$ 
16:    else if  $\text{center\_price} = \text{min\_price}$  and  $\text{min\_count} = 1$  then
17:       $\text{label\_text}[t] \leftarrow \text{"Buy"}$ 
18:       $\text{label\_code}[t] \leftarrow 1$ 
19:    else
20:       $\text{label\_text}[t] \leftarrow \text{"Hold"}$ 
21:       $\text{label\_code}[t] \leftarrow 0$ 
22:    end if
23:  end for
24:  save table with columns: dates, close_prices, label_text, label_code
25:  return label_code
26: end procedure
```

METHODOLOGY



Data
Preprocessing

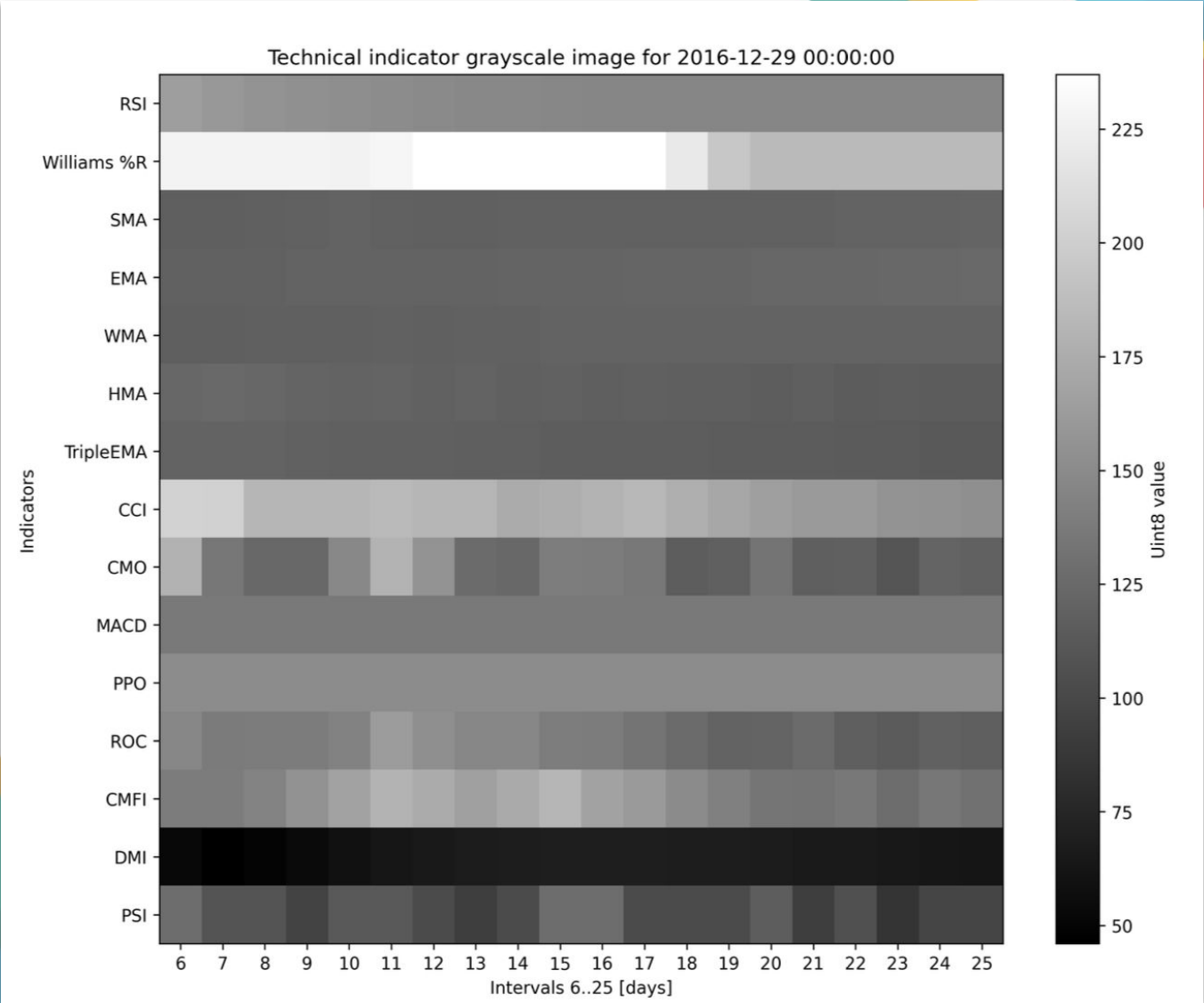
20 × 20 matrix

Label: BUY, SELL, HOLD

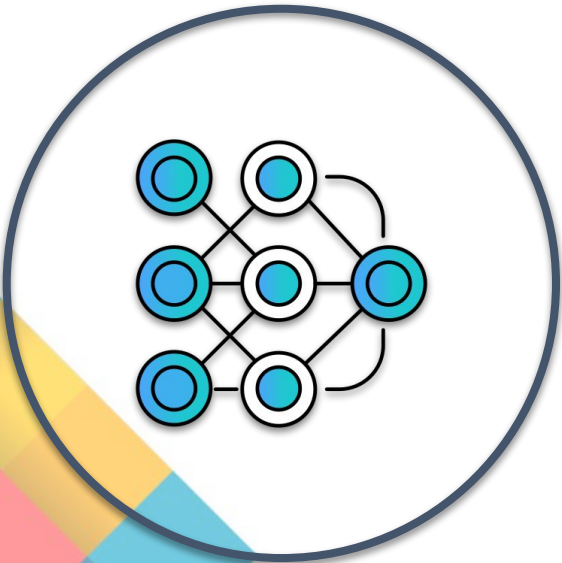
METHODOLOGY



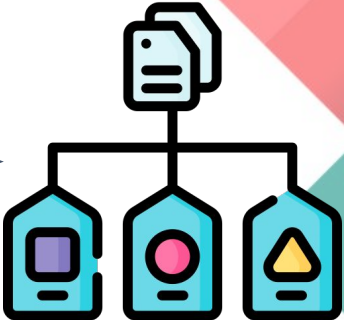
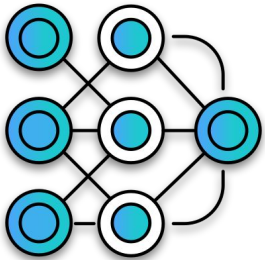
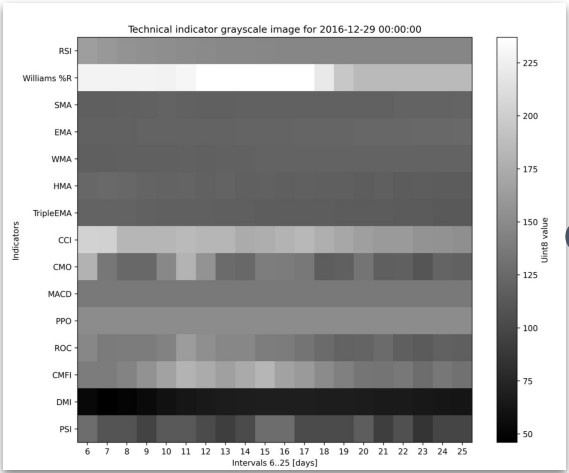
Image
Creation



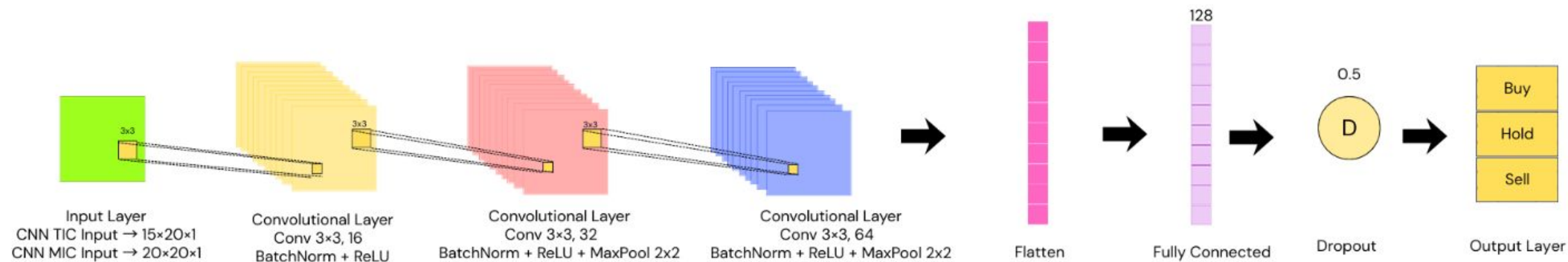
METHODOLOGY



Model Training



METHODOLOGY



METHODOLOGY



Model and
Financial
Evaluation

Model Evaluation

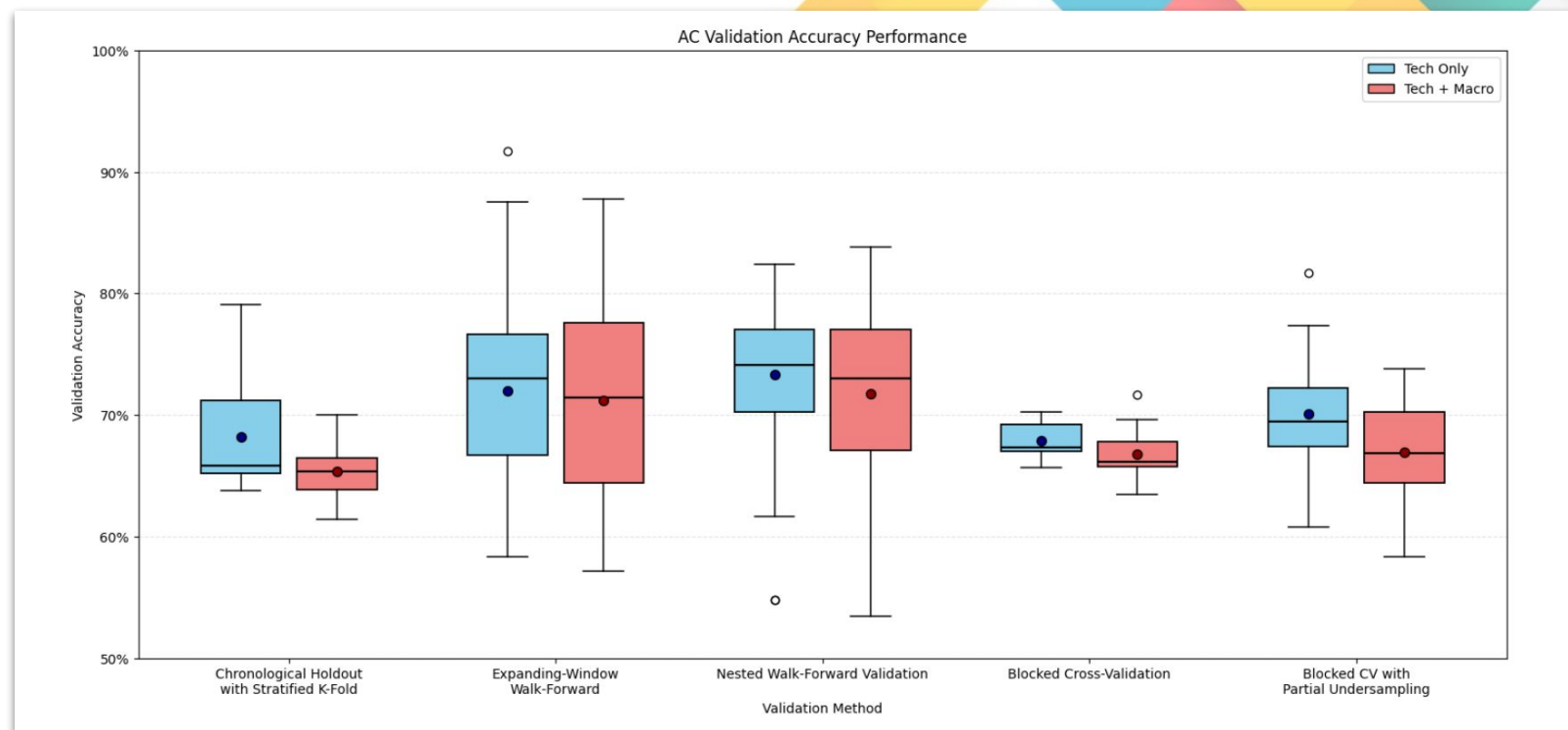
1. Accuracy
2. Precision
3. Recall
4. F1-score

Financial Evaluation

- Trading Simulation
- Php 10,000.00 initial equity

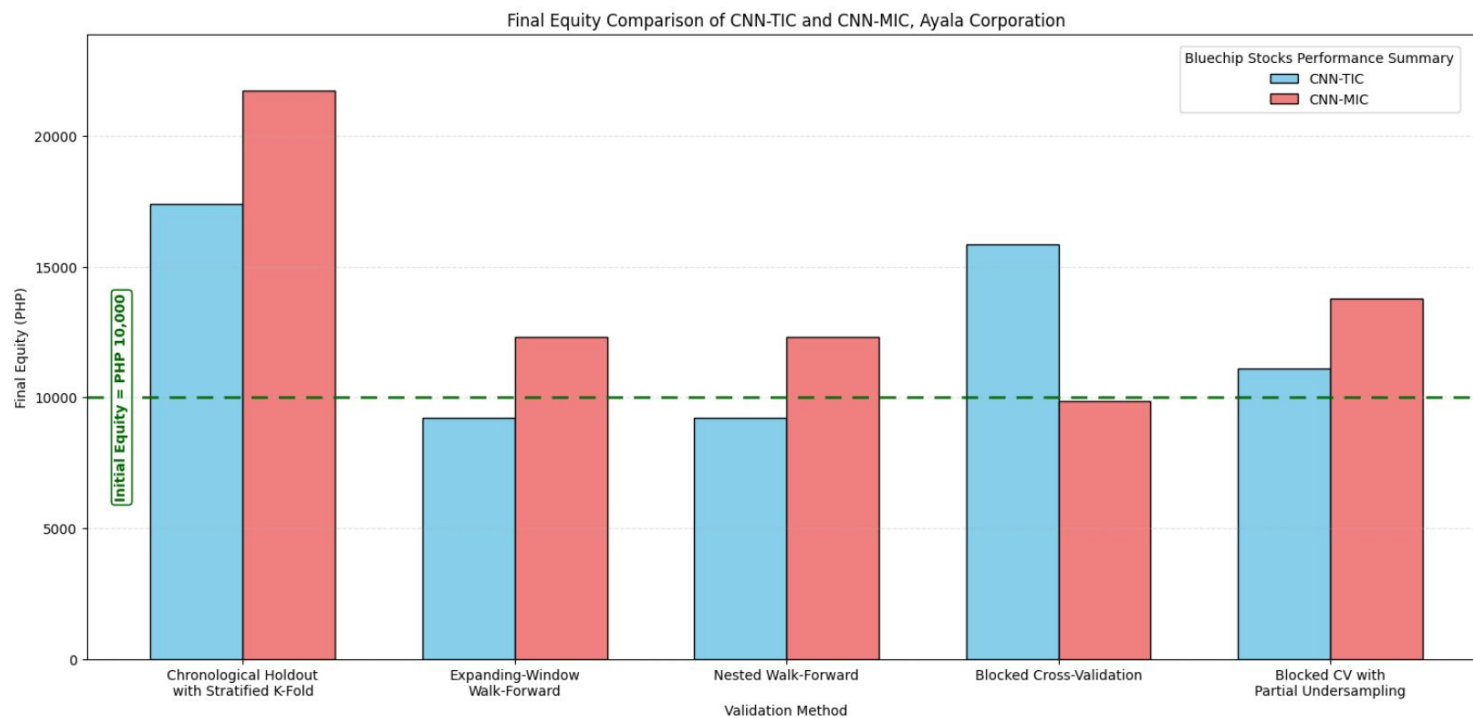
RESULTS AND DISCUSSIONS

Integrating technical and macroeconomic indicators did not significantly improve the classification performance of the trading model.



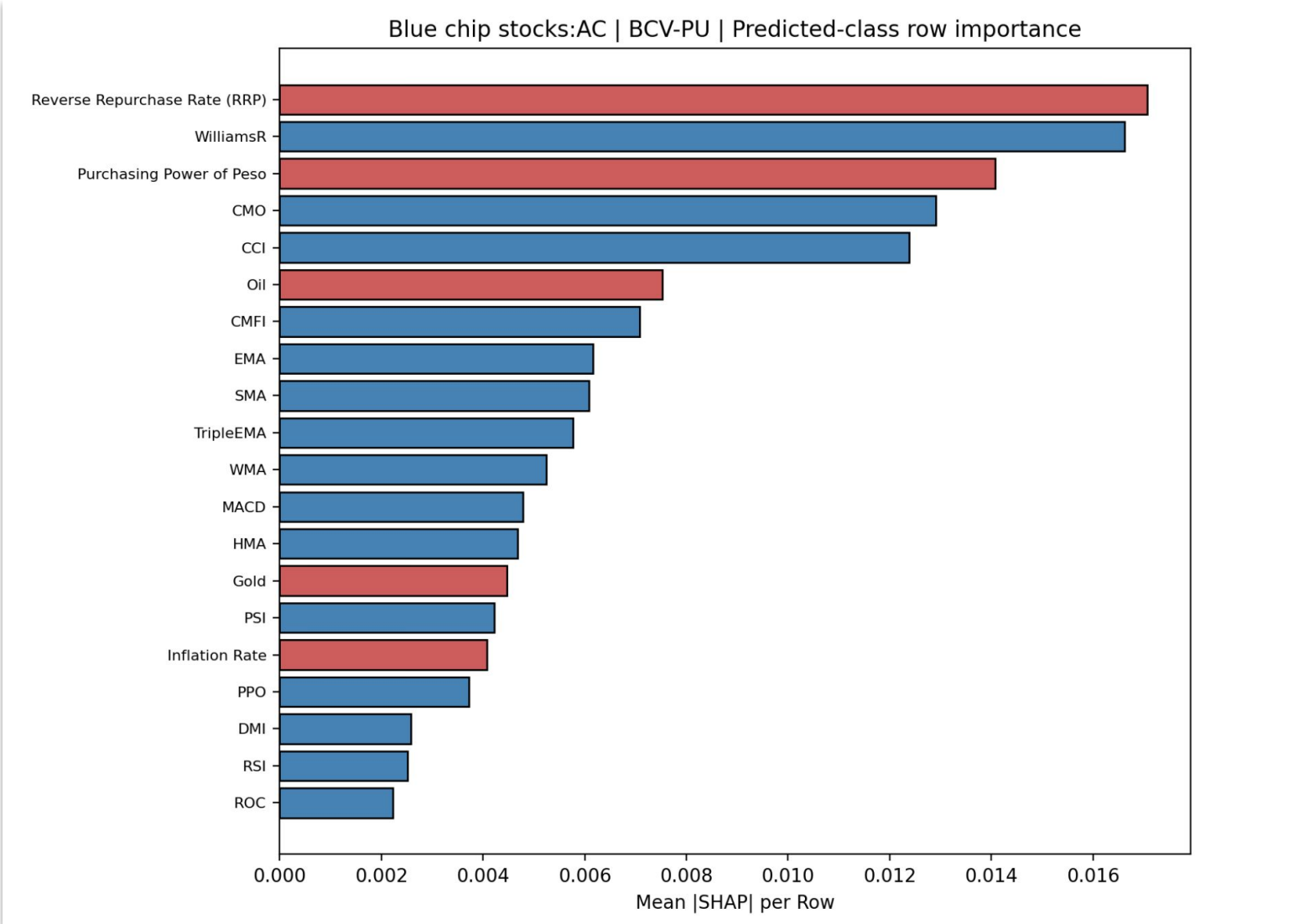
RESULTS AND DISCUSSIONS

Trading simulations demonstrated that integrating technical and macroeconomic indicators significantly enhanced the financial performance of the model.



RESULTS AND DISCUSSIONS

Feature analysis revealed that certain macroeconomic indicators possess high feature importance and effectively complement technical indicators, thereby improving the overall performance of the trading model.



CONCLUSION

TradeLENS integrates technical and macroeconomic indicators to enhance trading model analysis.

The inclusion of macroeconomic indicators did not significantly improve classification accuracy.

Trading simulations demonstrated improved financial returns using the integrated feature set.

Feature importance analysis showed that macroeconomic indicators effectively complemented technical indicators in supporting trading model performance.

TradeLENS: CNN-Based Trading Strategy
with Integrated Technical and
Macroeconomic Representations

THANK YOU



Questions?

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